



**PACIFIC PUBLIC MEDIA
(KNKX)**

**Financial Statements
With Independent Auditor's Report
May 31, 2024 and 2023**

**PACIFIC PUBLIC MEDIA
(KNKX)**

**FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023**

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**Independent
Auditor's Report**

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors
Pacific Public Media
Seattle, Washington

Opinion

We have audited the accompanying financial statements of Pacific Public Media (KNKX), which comprise the statements of financial position as of May 31, 2024 and 2023, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of KNKX as of May 31, 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of KNKX and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about KNKX's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibility

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of KNKX's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about KNKX's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.



Francis & Company PLLC
November 13, 2024

Statements of Financial Position

PACIFIC PUBLIC MEDIA (KNKX)
STATEMENTS OF FINANCIAL POSITION
AS OF MAY 31, 2024 AND 2023

	2024	2023
ASSETS		
Current Assets		
Cash and cash equivalents	\$ 1,316,198	\$ 2,157,507
Underwriting receivable	154,446	163,927
Contributions receivable, net	116,437	438,803
Prepaid expenses	220,940	302,102
Total current assets	1,808,021	3,062,339
Non-current assets		
Property and equipment, net	8,414,849	8,447,953
Operating lease right-of-use assets	4,603,094	5,064,071
Intangible assets, net	7,985,517	8,021,176
Total non-current assets	21,003,460	21,533,200
TOTAL ASSETS	\$ 22,811,481	\$ 24,595,539
LIABILITIES AND NET ASSETS		
Current liabilities		
Accounts payable and accrued expenses	\$ 184,979	\$ 393,739
Current portion of debt	117,140	1,400,000
Current portion of operating lease liability	462,847	434,626
Current portion of deferred underwriting	1,395	19,055
Total current liabilities	766,361	2,247,420
Non-current liabilities		
Deferred underwriting	204,490	306,895
Non-current portion of debt	290,000	-
Operating lease liability	4,727,817	5,164,916
Total non-current liabilities	5,222,307	5,471,811
TOTAL LIABILITIES	\$ 5,988,668	\$ 7,719,231
Net assets		
Without donor restrictions	15,813,515	16,335,482
With donor restrictions	1,009,298	540,826
Total net assets	16,822,813	16,876,308
TOTAL LIABILITIES AND NET ASSETS	\$ 22,811,481	\$ 24,595,539

See accompanying notes to financial statements.

Statements of Activities

PACIFIC PUBLIC MEDIA (KNKX)
STATEMENTS OF ACTIVITIES
FOR THE YEARS ENDED MAY 31, 2024 AND 2023

	2024			2023		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
REVENUE AND SUPPORT						
Listener support	\$6,919,666	\$ -	\$6,919,666	\$ 6,096,802	\$ -	\$ 6,096,802
Community service grant from Corporation for Public Broadcasting	363,984	130,023	494,007	447,078	-	447,078
Capital campaign contributions	-	130,440	130,440	-	2,312,728	2,312,728
Grant revenue	-	791,000	791,000		15,000	15,000
Underwriting	1,239,531	-	1,239,531	1,326,530	-	1,326,530
In-kind contributions	501,459	-	501,459	491,620	-	491,620
Other income	20,719	-	20,719	67,954	-	67,954
Net assets released from restrictions	582,991	(582,991)	-	3,029,425	(3,029,425)	-
TOTAL REVENUE AND SUPPORT	9,628,350	468,472	10,096,822	11,459,409	(701,697)	10,757,712
EXPENSES						
Program Services						
Programming and production	3,913,177	-	3,913,177	3,861,484	-	3,861,484
Broadcasting	2,140,455	-	2,140,455	1,671,707	-	1,671,707
Program information and promotion	597,362	-	597,362	541,627	-	541,627
Total Program Services	6,650,994	-	6,650,994	6,074,818	-	6,074,818
Supporting services						
General and administrative	952,474	-	952,474	275,407	-	275,407
Fundraising and membership development	2,059,430	-	2,059,430	1,898,911	-	1,898,911
Capital campaign	487,419	-	487,419	1,804,871	-	1,804,871
Total Supporting Services	3,499,323	-	3,499,323	3,979,189	-	3,979,189
TOTAL EXPENSES	10,150,317	-	10,150,317	10,054,007	-	10,054,007
CHANGES IN NET ASSETS	(521,967)	468,472	(53,495)	1,405,402	(701,697)	703,705
Change in accounting principle	-	-	-	-	(1,333,627)	(1,333,627)
Net assets, beginning of year	16,335,482	540,826	16,876,308	14,930,080	2,576,150	17,506,230
NET ASSETS, END OF YEAR	\$15,813,515	\$1,009,298	\$16,822,813	\$ 16,335,482	\$ 540,826	\$ 16,876,308

See accompanying notes to financial statements.

Statements of Functional Expenses

PACIFIC PUBLIC MEDIA (KNKX)
STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED MAY 31, 2024

	Program Services				Support Services				
	Programming & Production	Broadcasting & Engineering	Public Information & Promotion	Total Program Services	General & Administration	Fundraising & Membership Development	Capital Campaign	Total Support Services	Total
Salaries, taxes & benefits	\$ 2,306,767	\$ 415,351	-	\$ 2,722,118	\$ 574,088	\$ 1,253,924	\$ 392,844	\$ 2,220,856	\$ 4,942,974
Professional & contract fees	1,523,792	186,065	53,463	1,763,320	147,280	303,877	63,082	514,239	2,277,559
Occupancy & tower leases	-	743,337	-	743,337	-	-	-	-	743,337
Advertising	99	-	507,860	507,959	6,164	-	2,874	9,038	516,997
Depreciation	17,289	439,303	-	456,592	5,872	41,204	-	47,076	503,668
Software & technology	23,012	154,222	82	177,316	757	62,647	-	63,404	240,720
Bank service charges	-	-	-	-	16,730	181,807	-	198,537	198,537
Utilities	140	124,159	-	124,299	-	2,845	2,509	5,354	129,653
Supplies	1,823	6,615	3,787	12,225	11,151	91,666	7,933	110,750	122,975
Interests	-	-	-	-	95,544	-	-	95,544	95,544
Meetings & entertainment	1,893	-	27,169	29,062	5,969	19,097	17,216	42,282	71,344
Postage printing & shipping	-	8,975	4,200	13,175	193	48,533	485	49,211	62,386
Insurance	-	-	-	-	61,909	-	-	61,909	61,909
Travel	27,292	6,405	773	34,470	5,788	7,207	435	13,430	47,900
Repairs & maintenance	-	46,904	-	46,904	-	-	-	-	46,904
Dues & subscriptions	9,325	2,807	-	12,132	1,944	11,495	-	13,439	25,571
In-kind support	-	-	-	-	-	24,120	-	24,120	24,120
Legal services	-	-	-	-	18,402	-	-	18,402	18,402
Taxes	-	5,776	28	5,804	81	11,008	11	11,100	16,904
Miscellaneous	1,745	-	-	1,745	-	-	-	-	1,745
License, fees & permits	-	536	-	536	602	-	30	632	1,168
Total Expenses	\$ 3,913,177	\$ 2,140,455	\$ 597,362	\$ 6,650,994	\$ 952,474	\$ 2,059,430	\$ 487,419	\$ 3,499,323	\$ 10,150,317

See accompanying notes to financial statements.

PACIFIC PUBLIC MEDIA (KNKX)
STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED MAY 31, 2023

	Program Services			Total	Support Services			Total	
	Programming & Production	Broadcasting & Engineering	Public Information & Promotion	Program Services	General & Administration	Fundraising & Membership Development	Capital Campaign	Total Support Services	Total
Salaries, taxes & benefits	\$ 2,241,026	\$ 336,346	\$ -	\$ 2,577,372	\$ 49,108	\$ 1,116,263	\$ 1,290,619	\$ 2,455,990	\$ 5,033,362
Professional & contract fees	1,488,313	160,455	58,056	1,706,824	97,192	265,125	251,203	613,520	2,320,344
Occupancy & tower leases	-	876,570	-	876,570	-	-	-	-	876,570
Advertising	-	-	480,371	480,371	897	-	-	897	481,268
Depreciation	17,509	3,964	-	21,473	5,946	41,275	181,117	228,338	249,811
Software & technology	39,253	123,854	22	163,129	2,824	43,964	-	46,788	209,917
Bank service charges	-	-	-	-	15,032	175,067	-	190,099	190,099
Postage printing & shipping	-	5,591	1,052	6,643	515	108,362	9,345	118,222	124,865
Supplies	1,841	18,237	551	20,629	18,832	60,434	373	79,639	100,268
Utilities	3,281	88,651	-	91,932	-	-	-	-	91,932
Travel	47,931	8,904	310	57,145	11,058	7,028	160	18,246	75,391
Repairs & maintenance	1,946	30,263	-	32,209	-	-	29,888	29,888	62,097
Meetings & entertainment	3,568	-	1,133	4,701	12,621	23,659	9,017	45,297	49,998
Taxes	183	17,462	132	17,777	3,613	12,128	435	16,176	33,953
In-kind support	-	-	-	-	-	33,620	-	33,620	33,620
Insurance	-	-	-	-	30,468	-	-	30,468	30,468
Dues & subscriptions	13,390	504	-	13,894	4,163	11,986	-	16,149	30,043
Legal services	-	-	-	-	16,756	-	8,216	24,972	24,972
Interests	-	-	-	-	3,479	-	16,444	19,923	19,923
License, fees & permits	-	906	-	906	2,903	-	8,054	10,957	11,863
Miscellaneous	3,243	-	-	3,243	-	-	-	-	3,243
Total Expenses	\$ 3,861,484	\$ 1,671,707	\$ 541,627	\$ 6,074,818	\$ 275,407	\$ 1,898,911	\$ 1,804,871	\$ 3,979,189	\$ 10,054,007

See accompanying notes to financial statements.

Statements of Cash Flows

PACIFIC PUBLIC MEDIA (KNKX)
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED MAY 31, 2024 AND 2023

	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES		
<i>Change in net assets</i>	\$ (53,495)	\$703,705
<i>Adjustments to reconcile change in net assets to net cash from operating activities:</i>		
Contributions restricted for capital campaign	(130,440)	(2,312,728)
Grant revenue restricted for capital campaign	(791,000)	-
Depreciation on property and equipment	468,009	214,152
Amortization of software conversion costs	35,659	35,659
Change in accounting principle	-	(1,333,627)
<i>Changes in operating assets and liabilities:</i>		
Underwriting receivables	9,480	66,944
Contributions receivable	-	1,408,627
Employee retention credit receivable	-	676,560
Prepaid expenses	81,162	88,037
Right-of-use assets	460,977	(5,064,071)
Accounts payable and other accrued expenses	(208,760)	189,091
Deferred underwriting	(120,065)	(95,400)
Operating lease liability	(408,878)	5,369,651
Net cash used in operating activities	(642,351)	(53,400)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(434,904)	(5,355,016)
Net cash used in investing activities	(434,904)	(5,355,016)
CASH FLOWS FROM FINANCING ACTIVITIES		
Capital campaign proceeds	1,228,806	2,424,076
Line of credit proceeds	-	2,000,000
Payments on long-term and other debts	(992,860)	(729,960)
Net cash from financing activities	235,946	3,694,116
Net Decrease in cash and cash equivalents	(841,309)	(1,714,300)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	2,157,507	3,871,807
CASH AND CASH EQUIVALENTS, END OF YEAR	\$1,316,198	\$ 2,157,507

See accompanying notes to financial statements.

Notes to the Financial Statements

**PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023**

NOTE 1 SUMMARY OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES

Organization

Pacific Public Media (KNKX), incorporated January 13, 2016, and operating under KNKX 88.5 FM (KNKX), is a nonprofit corporation providing public radio programming and services to the Puget Sound region. KNKX broadcasts from its Seattle and Tacoma stations.

KNKX prides itself as a source of jazz, blues, and in-depth local and national news, available 24 hours a day online, through a cell phone application, or on the radio. KNKX also provides a full-time streaming jazz service, Jazz24. Broadcasting around the world, Jazz24 reaches a worldwide audience and further spreads the American music genre of jazz to new and old listeners alike.

Financial Statement Presentation

KNKX reports information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions. Contributions restricted by time or program are reported as net assets with donor restrictions and are then reclassified to net assets without donor restrictions when the restrictions are met.

Board-Designated Net Assets:

KNKX has an operating reserve of \$1,693,439 that is designated by the Board and included within net assets without donor restrictions at May 31, 2024 and 2023.

Net Assets with Donor Restrictions:

Net assets with donor restrictions consist of the following at May 31:

	2024	2023
Time-restricted listener and capital support	\$233,298	\$540,826
Time-restricted grants	776,000	-
	\$1,009,298	\$ 540,826

Time-restricted listener support represents contributions scheduled by the listener to be received in the following year. KNKX has elected to report net assets with donor restrictions whose restrictions are met in the same period they are received as being without donor restrictions.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from the estimated amounts.

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 1 SUMMARY OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES
(continued)

Cash and cash equivalents

Cash consists of cash held in banks. At times during the year, KNKX has cash in banks in excess of the FDIC insurance limits. To mitigate this risk, management believes it has selected financially sound banks to hold its funds.

Receivables

Almost all underwriting fees come from companies located in the Pacific Northwest. These receivables are stated at their outstanding principal balances.

Unconditional promises to give (contributions receivable) that are expected to be collected in one year are recorded at net realizable value. Contributions receivable over periods more than one year are initially recorded at fair value including assumptions about expected year of collection, estimated allowance, and donor-specific discount rates.

Management reviews underwriting and contributions receivable on a regular basis and establishes an allowance of 15% for accounts that may not be collectible. Any amounts written off are charged against the allowance. Management determined an allowance for uncollectible underwriting and contribution receivables of \$116,861 and \$102,023 at May 31, 2024 and 2023, respectively.

Property and equipment and depreciation

KNKX capitalizes expenditures for property and equipment at cost or, if donated, at the estimated fair value at the time of receipt. KNKX capitalizes property and equipment purchases with a cost or donated value of greater than \$10,000 and an estimated useful life of more than one year. Depreciation is computed using the straight-line method over the estimated useful lives for all property and equipment. Leasehold improvements are depreciated on the straight-line basis over the shorter of the term of the lease or the estimated useful lives of the improvements.

Identifiable intangible assets and amortization

Identifiable intangible assets consist of amortizable, and indefinite lived intangible assets. Indefinite lived intangible assets are stated at cost and consist of \$7,935,000 in Federal Communications Commission (FCC) licenses at May 31, 2024 and 2023. FCC licenses were acquired in 2016 from Pacific Lutheran University (PLU) and have an indefinite life and, therefore, are not amortized. Intangible assets are reviewed at least annually for potential impairment.

Software conversion costs to a new software as a service were capitalized in the amount of \$142,636 as of May 31, 2021. Amortization began during the year ended May 31, 2022, when the software was implemented. Amortization expenses were \$35,659 for both the years ended May 31, 2024, and May 31, 2023.

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 1 SUMMARY OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES
(continued)

Leases

Leases arise from contractual obligations that convey the right to control the use of identified property and equipment for a period in exchange for consideration. At the inception of the contract, KNKX determines if an arrangement contains a lease based on whether there is an identified asset and whether they control the use of the identified asset. KNKX also determines whether the lease classification is an operating or financing lease at the commencement date.

A right-of-use asset represents KNKX's right to use an underlying asset and a lease liability represents KNKX's obligation to make payments during the lease term. Right-of-use assets are recorded and recognized at commencement of the lease for the lease liability amount, adjusted for initial direct costs incurred and lease incentives received. Leases liabilities are recorded at the present value of the future lease payments over the lease term at commencement of the lease. The implicit rates for KNKX's leases are not readily determinable, therefore, KNKX elected to use a risk-free discount rate at the lease commencement date for all new leases and at June 1, 2022 (Adoption Date).

KNKX's real estate operating leases typically include non-lease components such as common area maintenance costs. KNKX elected to combine non-lease payments for the purpose of calculating lease right-of-use assets and liabilities to the extent that these are fixed. Non-lease components that are neither fixed nor variable based on an index or rate are expensed as incurred as variable lease payments. Certain KNKX's leases contain options to extend the lease term at prevailing market rates at the time of renewal. Management cannot predict the future economic landscape; therefore, it is not reasonably certain to exercise the extension options. KNKX uses the base non-cancellable, lease term when recognizing the lease assets and liabilities. KNKX lease agreements do not contain any material restrictive covenants.

For contracts existing as of the Adoption Date, KNKX elected the practical expedient and did not reassess whether there were any expired or existing leases, and initial direct costs for any existing leases.

Fair value measurements

Financial instruments include cash and cash equivalents, accounts receivable, and accounts payable. The carrying amounts of cash and cash equivalents, accounts receivable, accounts payable, approximate fair market value because of the short maturity of those instruments.

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 1 SUMMARY OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES
(continued)

Support and revenue

Contribution revenue (listener support) is recognized when cash is received, goods and services are donated, or when an unconditional promise is made.

During the years ended May 31, 2024, and 2023, KNKX received \$70,910 and \$121,215 in contributions from related parties, respectively.

Grant revenue from the Corporation for Public Broadcasting represents unrestricted funding to support general operations. All grant revenue is recognized as revenue when the grant is awarded unless there are conditions placed on the grant by the donor. There were no outstanding conditional grants as of May 31, 2024, or 2023.

Underwriting fees are considered contracts with customers and are recognized in accordance with ASC Topic 606 and recognized when the related programming is aired on the radio or when digital sponsorships are delivered (i.e., the number of times the sponsorship appears in viewed internet pages) at the amount KNKX has the right to invoice. Revenue is recognized as a point in time. No significant judgements are necessary to determine the amount or timing of revenue recognition. Customers are billed at the end of each month for sponsorships aired during that month. Payment is generally due within 30 days of the invoice date. As of May 31, 2024, and 2023, KNKX had underwriting receivables of \$154,446 and \$163,928, respectively.

Underwriting fees received in advance are recognized as deferred underwriting revenue. In 2016, KNKX partially paid for the purchase of an asset through the promise of future underwriting (see Note 5). The deferred underwriting related to this agreement was \$204,490 and \$306,895 as of May 31, 2024, and 2023, respectively.

KNKX expenses incremental costs to obtain a contract (such as sales commissions, general and administrative costs, and costs that cannot be assigned to a performance obligation) when incurred because the amortization period would have been one year or less.

In-kind goods and services

Donated services and supplies are recognized at their estimated fair value in the financial statements. In-kind contributions of \$477,339 and \$457,725 were received from one donor for the years ended May 31, 2024, and 2023, respectively. In-kind donations primarily consist of donated advertising. In addition, many individuals volunteer their time and perform a variety of tasks for KNKX, but these services do not meet the criteria for recognition in the financial statements as contributed services.

Functional Allocation of Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the statements of activities and functional expenses. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Occupancy, depreciation, and amortization expenses are allocated on a square-footage basis. Expenses such as salaries and wages, benefits, payroll taxes, professional services, office expenses, information technology, insurance, and others are allocated to their functional areas based on estimated time and effort.

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 1 SUMMARY OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES
(continued)

Advertising costs

KNKX expenses advertising costs as incurred. Advertising costs for the years ended May 31, 2024, and 2023, were \$516,997 and \$480,371, respectively. Advertising expenses are primarily donated advertising and are recognized as in-kind contributions. During the years ended May 31, 2024, and 2023, donated advertising was \$477,339, and 457,725, respectively.

Income taxes

KNKX is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code.

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 2 LIQUIDITY AND AVAILABILITY OF RESOURCES

KNKX strives to maintain liquid financial assets sufficient to cover 90 days of general expenditures. General expenditures include costs to run programs, fundraise, perform underwriting services, and other contractual obligations. Financial assets more than daily cash requirements can be invested in certificates of deposit, money market funds and other short-term investments.

KNKX manages its cash available to meet general expenditures following three guiding principles:

- Operating within a prudent range of financial soundness and stability,
- Maintaining adequate liquid assets, and
- Maintaining sufficient reserves to provide reasonable assurance that long-term mission fulfillment will continue to be met, ensuring the sustainability of the organization.

The following table reflects KNKX financial assets as of May 31, 2024, and 2023, reduced by amounts that are not available to meet general expenditures within one year of the statement of financial position date because of contractual restrictions, donor restrictions, or internal board designations. KNKX has board-designated funds held for an operating reserve. If the need arises to utilize board-designated funds for liquidity purposes, these reserves could be drawn upon through board resolution.

	2024	2023
Financial Assets	\$ 1,587,081	\$ 2,760,237
Donor-imposed restrictions	(233,298)	(540,826)
Operating reserve	(1,693,439)	(1,693,439)
Financial assets available	\$ (339,656)	\$ 525,972

NOTE 3 Contributions Receivable

Unconditional promises to give as of May 31 consist of the following:

	2024	2023
Receivable within one year	\$ 233,298	\$ 540,826
Receivable in one to five years	-	-
Receivables before allowance	233,298	540,826
Allowance of uncollectible accounts	(116,861)	(102,023)
Total promises to give receivable	\$ 116,437	\$ 438,803

PACIFIC PUBLIC MEDIA (KNKX)
NOTES TO THE FINANCIAL STATEMENTS
MAY 31, 2024 AND 2023

NOTE 4 PROPERTY AND EQUIPMENT

Property and equipment consist of the following as of May 31:

	2024	2023
Leasehold improvements	\$7,841,331	\$ 2,785,800
Property and equipment	1,993,740	1,048,744
	9,835,071	3,834,544
Less: Accumulated depreciation	(1,420,222)	(952,212)
Construction in progress	-	5,565,621
Total Property and equipment, net	\$ 8,414,849	\$ 8,447,953

Depreciation and amortization expense for land, buildings and equipment was \$468,010 and \$214,154 for the years ended May 31, 2024, and 2023, respectively.

NOTE 5 DEFERRED UNDERWRITING PLU

Under the terms of the Asset Purchase Agreement (the Agreement) with PLU in 2016 (see Note 1), KNKX paid \$7 million in cash and was obligated to provide \$1 million of underwriting services to PLU. Under the Agreement, up to \$100,000 of underwriting is to be provided per year for 10 years, with an allowed unused carryover amount of \$10,000 per year. Underwriting more than \$100,000 per year will reduce the following year's allocation. Underwriting performed under the Agreement during the years ended May 31, 2024, and 2023, was \$102,405 and \$101,400, respectively. The remaining deferred obligation is \$204,490 and \$306,895 as of May 31, 2024 and 2023 respectively.

NOTE 6 DEBTS

On June 22, 2023, the Organization refinanced a loan amounting to \$1,400,000 at an interest rate of 7.97%. The loan is secured against the Seattle Studio property. During the year, the Organization made repayments totaling \$992,860, leaving an outstanding balance of \$407,140 and \$1,400,000 as of May 31, 2024 and 2023 respectively.

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NOTE 7 LEASES

KNKX leases various equipment and facilities under long-term operating leases. Rental payments under these leases include base rental amounts for the terms of each lease. Variable costs for expenses which are not based on an index or rate, are determined based on actual expenses incurred by the lessor and passed to KNKX.

Operating and variable lease expenses for the year ended May 31, 2024, was:

	2024	2023
Operating lease expense	\$ 741,219	\$873,322
Variable lease expense	2,118	3,248
Total	\$ 743,337	\$876,570

Aggregate remaining maturities of Operating lease liabilities as of May 31, 2024:

2025	\$ 711,574
2026	686,007
2027	702,287
2028	707,919
2029	723,380
Thereafter	3,115,929
Total operating lease payments	6,647,096
Minus: Imputed interest	(1,456,432)
Total operating lease liabilities	\$ 5,190,664

NOTE 8 RETIREMENT PLAN

KNKX has a defined contribution 401(k) pension plan (the Plan) covering employees who meet prescribed service requirements. Contributions are made in accordance with the provisions of the Plan, which require employer contributions of 3% of total compensation and, in addition, a match of employee contributions of up to 5% of compensation. During the years ended May 31, 2024 and 2023, KNKX contributed \$251,970 and \$246,444, respectively, to the Plan.

NOTE 9 SUBSEQUENT EVENTS

Management evaluated all activities of KNKX through November 13, 2024 (the issuance date of the financial statements) and concluded that no subsequent events have occurred that would require recognition in the financial statements.